FINTECH

Indian fintech Paytm wins a major regulatory battle days after key investor exit

Jagmeet Singh — 12:08 PM PDT · August 12, 2025

Indian fintech giant Paytm has received long-awaited approval from the country's central bank to operate as a payment services provider for online merchants — just days after one of its Chinese investors sold its entire stake — marking a key regulatory breakthrough after months of setbacks and scrutiny.

On Tuesday, the Reserve Bank of India (RBI) granted "in-principle" approval to Paytm's Payment Services unit to operate as an online payment aggregator, parent company One97 Communications said in its filing (PDF) to Indian stock exchanges. The approval comes more than two years after the Noida-based fintech was initially denied the license in November 2022 due to noncompliance with India's rules on receiving investments from countries that share a land border.

IMAGE CREDITS: JAGMEET SINGH / TECHCRUNCH

Without the license, Paytm was barred from onboarding new online merchants. At the time, the company said the restriction had "no material impact" on its business or revenues. However, at its annual general meeting last September, One97 Communications founder and CEO Vijay Shekhar Sharma stated his intention to reapply for the payment aggregator license.

The approval also comes over a year after the RBI banned Paytm Payments Bank from accepting fresh deposits and enabling credit transactions. Paytm weathered that impact by quickly shifting gears and

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partnering with Axis, HDFC, State Bank of India, and Yes Bank to make them serve as payment system providers for its consumers and merchants involved in online transactions and autopay mandates.

With the new license, Paytm can operate as a service provider for online merchants, enabling them to accept a range of payment methods, including cards, net banking, and the Indian government-backed Unified Payments Interface (UPI). The approval also lifts the online merchant onboarding restrictions imposed by the central bank in 2022.

The approval comes just a week after China's Ant Group exited Paytm by selling its remaining 5.8% direct stake in One97 Communications for $454 million through block deals. This follows an earlier exit in 2023, when Ant Financial sold a 10.3% stake — worth $628 million — to Sharma in a no-cash deal.

Paytm is required to undertake a "system audit," including a cybersecurity review, and submit its report to the Reserve Bank of India within six months. If it fails to do so, the approval will lapse, per the RBI letter enclosed with the company's stock exchange filing. The license is also limited to online payment services and does not extend beyond that scope.

The latest development will help Paytm control most of its value chain, from its offline sound boxes to the online payment gateway, and reduce its reliance on other bank partners, fintech investor Osborne Saldanha told TechCrunch.

Paytm is currently the third most-used UPI payments platform, behind Walmart-owned PhonePe and Google Pay. The fintech accounted for 6.9% of the total 18.4 billion UPI transactions in June and 5.6% of the transaction value, per the National Payments Corporation of India (NPCI). In total, Paytm processed 1.27 billion UPI transactions worth ₹1.34 trillion (approximately $15 billion).

Although Paytm trails PhonePe and Google Pay in the UPI market — with the duo handling over 82% of all UPI transactions in June — the company offers a broad suite of businesses and services to attract both consumers and merchants. These include offline merchant payment solutions with integrated hardware, software, and service layers, as well as a growing credit and lending business.

Paytm reported (PDF) net income of ₹1.23 billion (approximately $14 million) for the first quarter of its financial year 2026, ending in June — a turnaround from a loss during the same period last year. The results beat expectations, as analysts had projected a loss of ₹1.27 billion (approximately $14.5 million). Revenue rose 28% year-over-year to $224 million, while the company's contribution margin improved to 60%, up from 50% a year ago.

In addition to its recent financial growth, Paytm's shares have risen 13.25% year-to-date in 2025, signaling that the company is beginning to regain market confidence after more than a year of regulatory setbacks. The stock closed at ₹1,118.50 (approximately $13) on Wednesday, just before the regulatory approval was announced.

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Jagmeet Singh
Reporter

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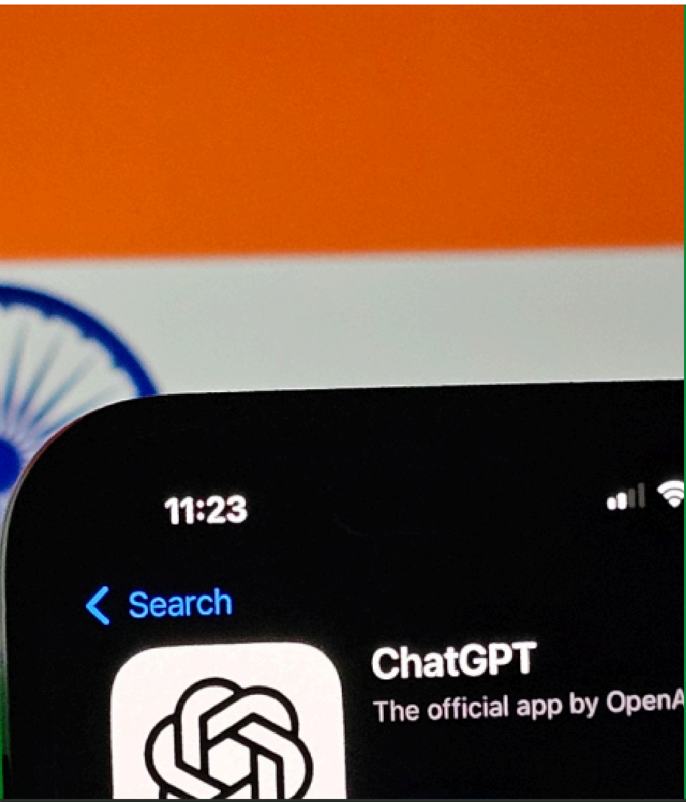

APPS

OpenAI launches a sub-$5 ChatGPT plan in India

priced at ₹399 per month ($4.60), which is more affordable than the ₹1,999 (about $23) per month Plus Plan.

The company had turned on local currency pricing for all its plans a few days ago, and with this launch, it will also allow users to pay through UPI (Unified Payment Interface), India's payment framework.

Nick Turley, VP at OpenAI and head of ChatGPT, said that this plan will increase the message, image generation, and file uploads by 10 times over the free tier. The ChatGPT Go plan will also enable better memory retention for more personalized responses, Turely said.

We just launched ChatGPT Go in India, a new subscription tier that gives users in India more access to our most popular features: 10x higher message limits, 10x more image generations, 10x more file uploads, and 2x longer memory compared with our free tier. All for Rs. 399. 🇮🇳

— Nick Turley (@nickaturley) August 19, 2025

"Making ChatGPT more affordable has been a key ask from users! We're rolling out Go in India first and will learn from feedback before expanding to other countries," Turley said.

From a currency conversion standpoint, the Plus plan was higher than $20 for Indian users when offered in local currency. The new Go plan offers a more affordable alternative to people who are looking to use ChatGPT primarily for chat, image generation, and file processing.

Tibor Blaho, a software engineer with a reputation for accurately leaking upcoming AI products, had previously teased this plan and its details.

While the company is geo-restricting this plan to India, the company said on its support page that it is working to expand this plan to more regions.

Last month, Turley noted that ChatGPT now has more than 700 million weekly users worldwide — up from 500 million in March. OpenAI launched its updated image generator feature for ChatGPT in March, and since then, it has seen an uptick in usage in India. OpenAI CEO Sam Altman said in a recent podcast that India is the company's second biggest market. With the Go plan, it wants to cash in on that.

According to app analytics firm AppFigures, India has been the leading country in terms of ChatGPT app downloads across platforms, with over 29 million downloads coming from the country in the last 90 days. However, the app only made $3.6 million in this period from users in the country.

This move will likely nudge more consumers to subscribe to using ChatGPT more, given its pricing. Other AI companies have also made moves to attract users from the country's internet user base of over 850 million. Last month, Perplexity partnered with network provider Airtel to offer free Perplexity Pro subscriptions. Google also dished up a free AI Pro plan for India-based students for one year.

While OpenAI's move is not giving out any freebies, local and affordable pricing will likely result in a better subscription conversion rate for ChatGPT in India.

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Ivan covers global consumer tech developments at TechCrunch. He is based out of India and has previously...

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Figure's IPO filing marks Mike Cagney's return to public markets

Connie Loizos — 4:23 AM PDT · August 19, 2025

IMAGE CREDITS: GETTY IMAGES

Figure Technology, a 7-year-old blockchain-based lending company, on Monday filed for an IPO of its Class A common stock on Nasdaq, saying in its IPO paperwork that its revenue rose 22.4% to $191 million in the six months ended June 30, and that it reported a profit of $29 million in the same period, compared with a loss of $13 million a year earlier.

The filing offers a chance at vindication for Figure co-founder Mike Cagney, who previously built SoFi before leaving the personal finance platform in 2017 following sexual harassment allegations. SoFi went public in 2021 via a special purpose acquisition company (SPAC) merger and has done pretty well as a public company — its stock is up over 200% in the past year, and its revenue rose 44% in the second quarter of 2025.

Since its founding in 2018, Figure has established itself as one of the bigger players in blockchain-based lending, claiming more than 160 partners for its loan origination system and capital marketplace. Figure claims to be the largest non-bank provider of home equity lines of credit.

The company, which Cagney founded with his wife June Ou, uses blockchain technology through its Provenance blockchain to speed along approvals for home equity loans, mortgage refinancing, and student and personal loans.

In May, Figure said it was also expanding into cryptocurrency lending, signing a financing agreement with Victory Park Capital for what Figure

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described as the industry's first securitized pool of crypto-backed loans. That product allows asset owners to borrow against their Bitcoin and Ethereum holdings with loan-to-value ratios up to 75%.

Terms of that deal with Victory Park were not disclosed.

Cagney has a history of ambitious regulatory moves. As TechCrunch reported in late 2020, during the last days of the first Trump administration, Figure applied for a U.S. national bank charter that would have let it accept uninsured deposits exceeding $250,000 from accredited investors while avoiding traditional FDIC and Federal Reserve oversight. The approach could have established a template for other fintech and retail companies to obtain non-traditional bank charters and offer lucrative financial products while avoiding such oversight, but Figure withdrew its application last year amid broader fintech industry challenges.

The company has undergone major leadership and organizational changes in the meantime. In April 2024, Figure appointed Michael Tannenbaum, former COO of Brex, as CEO. Tannenbaum previously worked with Cagney as SoFi's chief revenue officer.

And in an unusual corporate maneuver, Cagney spun off Figure Markets in early 2024, creating a standalone digital asset exchange for crypto trading, crypto-backed loans, and stablecoins. But just over a year later, in July, Figure reversed course and smooshed the two entities back together.

The company says the strategy positions it to capture a huge and growing opportunity in real-world asset tokenization. (Real-world asset tokenization involves converting traditional assets like mortgages, real estate, or loans — even art — into digital tokens that can be traded on blockchain networks. Heavyweight financial players like BlackRock and JPMorgan are among those who have recently entered the space.)

It's worth noting that this is not Figure's first attempt at going public. The company previously planned to list via a merger with a SPAC called Figure Acquisition Corp., but the deal got scrapped due to rising interest rates and redemption rates, among other challenges. The blank check company was later delisted from the New York Stock Exchange.

Figure, whose backers include Apollo Global Management and Ribbit Capital, also failed to complete a planned merger with mortgage lender Homebridge Financial Services in 2022, citing regulatory delays 10 months after the tie-up was announced.

The IPO filing is no surprise to industry observers. For one, Figure — which last raised $200 million in 2021 at a $3.2 billion valuation — announced weeks ago that it had filed a confidential statement for an IPO. Further, the timing aligns with a growing wave of crypto-related companies seeking public listings, encouraged by the wildly successful debut of Circle Internet Group back in June, and the Trump administration's full-bodied support for the cryptocurrency sector and related legislation.

Circle's shares soared more than 500% in their first two weeks on the public market. Crypto exchange Bullish has added to the momentum as its shares more than doubled on its first day of trading last week.

On Friday, the Winklevoss twins' crypto exchange Gemini filed for an IPO despite reporting a $282.5 million net loss in the first half of 2025.

Goldman Sachs, Jefferies, and BofA Securities are serving as the lead bookrunners for Figure's IPO. The number of shares to be offered and their price range have not yet been determined.

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Connie Loizos

Editor in Chief & General Manager

Loizos has been reporting on Silicon Valley since the late ’90s, when she joined the original Red Herring magazine....

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